nomic growth which generates profit increases but little upward pressure on inflation.

The most recent upward step in equity prices began in late July when investors recognised that profit increases were continuing despite a slowing in economic growth. In the third quarter which followed, real growth in gross domestic product was 2 per cent, operating profits in the Standard & Poor's 500 companies increased 7 per cent on the previous year and inflation was unchanged. Inflation fears abated, 30-year Treasury bond yields fell from 7.2 per cent to 6.4 per cent and share prices moved higher.

US share prices typically move in a staircase pattern.

This was an appropriate response to favourable news. As for most of the past six years, the rising market has been supported by evidence that the economic expansion is long-lasting and profit-intensive rather than especially vigorous.

The growth in profits has been stretched out like Potty Putty but the cumulative profit gains have been significant—they have doubled since 1991. Profits generated by companies such as those in the S&P 500 continue pleasantly to surprise investors with their durability and quality.

The durability is linked to the extended nature of business expansion and the upward shift in operating margins since the mid-1980s.

The quality is tied to several factors. First, low inflation means the earnings reported by companies are "real", with very little derived from inflation or inventory-related fluff.

Second, changes in accountancy practices made by the Financial Accounting Standards Board in the 1990s have encouraged conservative accounting approaches on several important issues, including employee benefits.